CHAPTER 5

A Framework for Investment Selection

KEY CONCEPTS

- All asset classes should have a real expected return over inflation.
- Asset class risks should be fundamentally different from each other.
- Varying rolling correlation levels test for unique risk among asset classes.
- Liquid and low-cost funds should be accessible.

Asset allocation is a simple concept that has several benefits. If you diversify your portfolio across several unlike investments that have real expected returns, you will reduce the risk of a large loss. Rebalance your portfolio back to a target allocation annually to control long-term risk and increase return. The challenge is finding those investments that have different characteristics and expected real returns.

Part Two is a review of most common asset classes that are available to you, and a few that are not so common or not so available. For many asset classes the cost and illiquidity of product negates any diversification benefit.

A FOUR-STEP PROCESS

At its core, an asset allocation strategy involves four steps:

1. Determine your investing portfolio’s risk level based on your long-term financial needs and tolerance for risk. This is converted into an equity and fixed-income allocation.

2. Analyze asset classes and select those that are appropriate based on their unique risk, expected return, past correlation with other asset classes, and tax efficiency, if applicable.